load up a bunch of stocks, tell it to find double bottoms (as an example, but they happen often), and let the program find them. Then I look at the context: the double bottom in the surrounding price landscape. I'll guess whether to make the trade or stay in cash, and then let the stock play out. It's like day trading on the 1 millisecond scale (you control playback speed). In seconds, I'll know whether the trade made money or not.

What I'm doing is training my brain not only to view the chart pattern, but to get a feel for the conditions where the pattern will thrive or fail. It's an easy way to train your brain to recognize winning and losing setups.

Suppose you find a stock showing a chart pattern you wish to buy. Spend an hour searching for similar setups using the Patternz simulator and you'll be able to tell whether your trade will *likely* work or not.

It's easy to find chart patterns. The Patternz software will find them for me. But having the experience to know whether they will work is what separates a seasoned professional from amateurs.

Amateurs are the ones paying for the dreams of the professionals. Stop giving away your money. Take the time to do the research to discover when a chart pattern will work and when it won't. Then put that knowledge to use to fill your wallet or purse.

That's how you trade chart patterns and make money doing it.

Another Way

I mentioned this setup in the introduction to this chapter. Look for a bullish pattern and buy it when it confirms. Sell when a bearish pattern appears. For example, **Figure 1.7** shows a double bottom at AB. The two valleys bottom near the same price. The squiggles turn into an actual double bottom when price closes above the horizontal line. That happens at C (the breakout). The next day, D, you buy the stock at the opening price and receive a fill of 7.40.